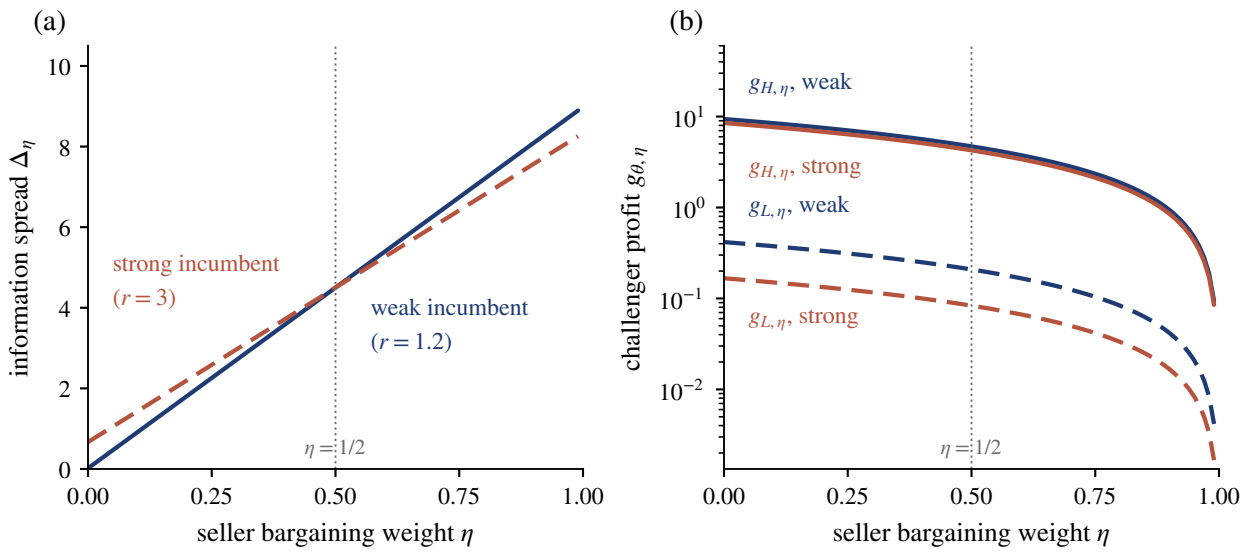
(a)
information spread Δ_η
10
8
6
4
2
0
strong incumbent
($r = 3$)
weak incumbent
($r = 1.2$)
$\eta = 1/2$
0.00
0.25
0.50
0.75
1.00
seller bargaining weight η
(b)
challenger profit $g_{\theta,\eta}$
$g_{H,\eta}$, weak
$g_{H,\eta}$, strong
$g_{L,\eta}$, weak
$g_{L,\eta}$, strong
10^{1}
10^{0}
10^{-1}
10^{-2}
$\eta = 1/2$
0.00
0.25
0.50
0.75
1.00
seller bargaining weight η